INTRODUCTION

Natural resources comprise commodities and raw land used for agricultural purposes, specifically farming and timber. Managing this asset class requires specialized knowledge of the features of natural resources. An increasing number of portfolios include natural resources, which justifies a separate examination of the sector. There has been rapid development in offering indirect investment in natural resources through exchange-traded funds (ETFs), limited partnerships, REITs, swaps, and futures.

Commodities, such as crude oil, soybeans, copper, and gold, are seen as investments. Investments in commodities can be either “hard” (those mined, such as copper, or extracted, such as oil) or “soft” (those grown over a period of time, such as livestock, grains, and cash crops, such as coffee).

Timberland investment involves ownership of raw land and the harvesting of its trees for lumber, thus generating an income stream and the potential for capital gain, and timberland has been included in large institutional portfolios for decades. Farmland as an investment is a more recent phenomenon, with only a few dedicated funds involved. With population growth, weather, and water management becoming more topical, however, investors may turn to these assets to actively address sustainability.

Learning Module Overview

- Investments in farmland and timberland are similar in certain respects to real estate investments but also exhibit several important differences.
- While raw land’s investment returns occur strictly from price changes of the asset, both farmland and timberland generate returns from the assets’ income stream in addition to price changes of the assets.
- Timberland’s income stream differs from that of farmland in that the harvest time of timber can be chosen while crops from farmland are harvested on a regular cycle.
- Commodity investments are typically entered into via derivative markets, although some investors may find value in investment in physical commodities directly or through specialized funds.
- The prices available on commodities through derivative markets must be related to the prices on the same commodities in physical markets to prevent arbitrage opportunities.
- The forward price of a commodity will be greater than the spot price on the same commodity only if the carrying costs of owning the physical commodity are greater than the non-cash benefits of owning the physical commodity.
- Investing in commodities is motivated by its potential for high expected return, its potential for diversifying a portfolio of traditional assets, and inflation protection. Commodities exhibit high correlation with inflation over the last 30 years, suggesting that commodities are an effective inflation hedge.
- Farmland and timberland investments trade infrequently and in non-public markets. As a result, they are likely to appear as less volatile than commodities and other publicly traded risky assets (such as stocks), despite the fact that both asset classes face significant risks, such as weather-related threats.
- Farmland and timberland provide diversification potential to portfolios consisting primarily of traditional assets (i.e., stocks and bonds). Historical correlations

Learning Module Self-Assessment

These initial questions are intended to help you gauge your current level of understanding of this learning module.

1. Which of the following asset characteristics is shared by both farmland and real estate investments?

A. Both are liquid investments.
B. Both are illiquid investments.
C. Physical improvements are a primary focus of the investment value for both.

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Solution:

B is correct. Farmland and real estate share a feature of illiquidity: It is costly to find a buyer when sale of the investment is desired. A is incorrect given that both are illiquid investments. C is incorrect because physical improvements are a focus of value only for real estate investments, not for farmland investments.

2. Which of the following natural resource investments is least likely to use the real estate investment trust (REIT) ownership structure?

A. Farmland
B. Raw land
C. Timberland

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Solution:

B is correct. Raw land is typically acquired through direct ownership or a partnership structure. Also, raw land has no inherent income stream and returns accrue purely from price appreciation, making the income pass-through REIT structure less relevant. Both A and C are incorrect because both farmland and timberland investments are included in REIT structures, as well as other ownership forms.

3. Which type of investor is likely to prefer investing in commodities using exchange-traded products?

A. Those seeking simplified trading through a brokerage account
B. Those seeking to gain access to dynamic commodity trading strategies
C. Those seeking expertise in a specific commodity sector

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Solution:

A is correct. Exchange-traded products allow investors to gain commodity exposure through a simple exchange-traded instrument that can be accessed via a brokerage account. B is incorrect because it describes investors who choose to use commodity trading advisors. C is incorrect because this type of investor will choose a specialized commodity fund for its expertise.

4. Which of the following describes a non-cash benefit of holding a physical commodity rather than a derivative contract on the same commodity?

A. Interest
B. Convenience yield
C. Storage

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B is correct. In market environments in which physical inventories of a commodity become low, investors in that commodity will prefer to hold the physical asset rather than a derivative contract with the asset as an underlying. The premium on the spot price resulting from this preference is called the convenience yield. A and C are both incorrect because interest and storage reflect costs associated with owning the physical commodity.

5. Which of the following statements most correctly reflects commodity supply and demand fundamentals?

A. Supply of commodities adjusts equally to demand for commodities.
B. Supply of commodities adjusts more rapidly than does demand for commodities.
C. Supply of commodities adjusts more slowly than does demand for commodities.

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Solution:

C is correct. Commodity supply adjusts slowly to demand because of long production times; for example, agricultural crops require a growing cycle.

6. Which of the following measures is best used to assess the potential for portfolio diversification when adding farmland or timberland to a portfolio of traditional assets?

A. Returns of other asset classes
B. Volatility of other asset classes
C. Correlation between other asset classes

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Solution:

C is correct. Correlation between asset classes best reflects the potential for portfolio diversification. An asset class that exhibits lower (i.e., closer to zero) correlation with traditional asset classes (such as stocks and bonds) has better diversification potential compared to an asset class exhibiting higher (i.e., closer to one) correlation. A and B are incorrect because returns and volatility strictly reflect reward and risk for the asset class without consideration as to how the asset class performs compared to other asset classes.

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